



Air Liquide S.A. - EPA:AI
07/04/2026

Equity Research Report



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1 Company Overview

2 Industry Overview

3 Investment Thesis

4 Valuation

5 Catalysts and Risks

6 Recommendation



Operating Forecast

In million (€)	2022	2023	2024	2025	2026E	2027E	2028E
Operating Income	4 608,30	4 799,00	5 157,40	5 234,30	5 505,67	6 759,53	7 416,55
Operating income growth (%)		4%	7%	1%	5%	23%	10%
Net profit	2 758,80	3 078,00	3 306,10	3 517,90	3 700,28	4 542,99	4 984,56
Net profit growth (%)		12%	7%	6%	5%	23%	10%
EBITDA	6 782,30	6 988,00	7 361,40	7 498,90	8 163,18	9 441,96	10 130,50
EBITDA Margin (%)	23%	25%	27%	28%	28%	28%	28%

Revenue drivers:

- For Marvin or whoever wants to do it



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Operational Excellence and Margin Leverage (ADVANCE Plan)

- While the market focuses on volumes, Air Liquide is optimizing its profitability through its ADVANCE strategic plan. The digitization of control centers and the energy efficiency of air separation units are driving an expansion of the operating margin (targeted at +200 bps for 2025–2026).
- This rigorous management, combined with a dividend and bonus share distribution policy that has been uninterrupted for 30 years, creates a positive risk asymmetry for long-term investors.

Driving the Energy transition ("Hydrogen-Native" strategy)

- Air Liquide is no longer just a gas supplier, but a pivotal technology platform for decarbonization. The widespread integration of renewable hydrogen and carbon capture and storage (CCS) solutions enable the group to turn regulatory constraints into growth drivers.
- With major projects such as Normand'Hy, the group is securing massive subsidies and exclusive supply contracts, ensuring cash flow visibility for over 15 years.

Dominance in the High-Tech and Electronics markets

- Contrary to fears of an industrial slowdown, the Electronics division benefits from a significant technological barrier to entry. The supply of ultra-pure gases for the manufacture of next-generation semiconductors is driven by global "reshoring" (CHIPS Act, EU Chips Act).
- The expansion of capacity by strategic clients such as TSMC and Intel should enable the capture of additional market share by 2027, creating a positive decoupling from traditional economic cycles.



Marvin – done except brokers

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Broker estimates

Broker Estimates	Target Prices (\$)	Upside (%)	Rating
Evercore (11/02/2026)	\$85.00	+10.7%	Buy
UBS (11/02/2026)	\$87.00	+13.3%	Strong Buy
Jefferies (11/02/2026)	\$87.00	+13.3%	Strong Buy
Wells Fargo (09/02/2026)	\$87.00	+13.3%	Buy
Citigroup (11/02/2026)	\$87.00	+13.3%	Strong Buy
JP Morgan(11/02/2026)	\$83.00	+8.06%	Buy
RBC Capital (11/02/2026)	\$87.00	+13.3%	Buy
Overall average (23 analysts)	\$81.93	+6.67%	Outperform



DCF Model Output

WACC Assumptions

Cost of Debt
3.01%

As of December 2025, the cost of debt for AI was €291.4m, for a total book value of net debts of -€9.69bn
 $\Rightarrow \text{Cost of Debt} = 0.291 / 9.69 = 3.01\%$

Risk Free Rate
3.75%

We use here the French 10Y gov bond

Cost of Equity
5.98%

We use here a 2.90% market premium, the difference between the risk-free rate and the 10Y return average of the CAC40 Index and the CAPM model then:

$$K_e = R_f + \beta * (R_m - R_f) \text{ with an adjusted } \beta = 0.65 * 0.67 + 0.33 * 1 = 0.77$$

Weight of debt
13.14%

Market cap : €103.86bn / Total debts : €13.65bn
 $\text{Weight of debt} = 13.65 / 103.86 = 13.14\%$

WACC
5.49%

$$\begin{aligned} \text{WACC} &= (1 - \text{weight of debt}) * \text{Cost of Equity} + \text{weight of debt} * \text{Cost of Debt} * (1 - \text{Tax Rate}) \\ &= (1 - 13.14\%) * 5.98\% + 13.14\% * 3.01\% * (1 - 24.73\%) \\ &= 5.49\% \end{aligned}$$



DCF Model Output

Terminal Value – Perpetuity Growth Method

2025 FCF : EUR 3.46B

FCF growth for the next 10Y : 3.5%

Baseline Terminal FCF Growth Rate: 3%

Baseline Terminal Value : EUR 106.31B

Diluted shares outstanding : 578m

Net debt : EUR 9.69B

Baseline EV : EUR 131.02B

Implied Share Price from DCF	€209.93	Premium to Current Share Price	+
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Sensitivity Analysis

		Terminal earnings growth rate				
		2,00% ▼	2,50% ▼	3,00% ▼	3,25% ▼	3,50% ▼
WACC	4,50%	225,75	276,92	362,20	430,42	532,75
	5,00%	184,70	217,37	266,39	301,40	348,08
	5,49%	156,01	178,47	209,93	230,92	257,17
	6,00%	134,26	150,33	171,76	185,40	201,77
	6,50%	117,80	129,78	145,19	154,67	165,73



DDM Model Output

Terminal Value – Gordon Growth Model

Dividend yield : 2.05%

Dividends 2024 : €2.91

Estimated dividends :

	2025	2026	2027	2028	2029	2030	2031
dividends	3,38	3,72	4,09	4,50	4,95	5,45	5,99
PV	3,51	3,64	3,78	3,93	4,07	4,23	

Dividend growth rate perpetual : 4.00%

Cost of Equity: 5.98%

Implied Share Price from DDM	€337.48	Premium to Current Share Price	+%
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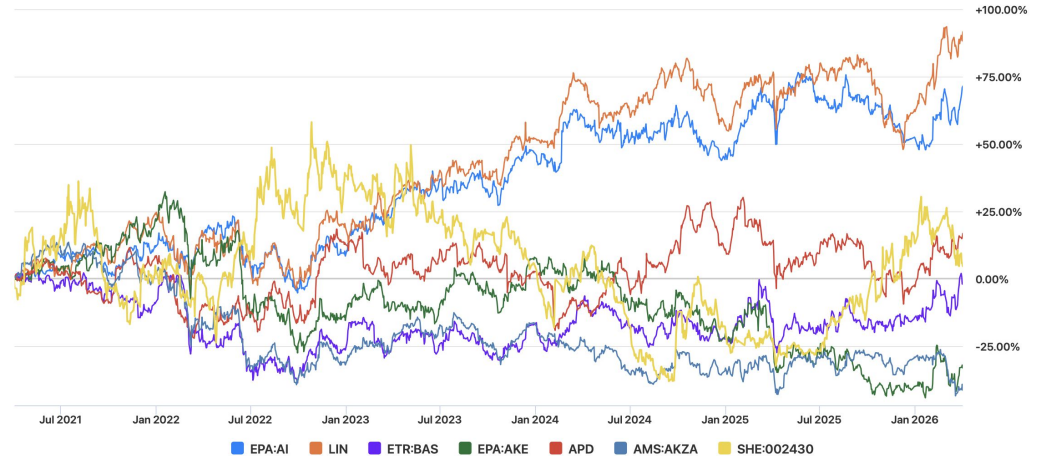
Sensitivity Analysis

		Terminal dividend growth rate				
		3,00%	3,50%	4,00%	4,25%	4,50%
Cost of Equity	5,00%	331,79	436,66	646,40	856,14	1 275,63
	5,50%	270,06	333,29	438,66	522,95	649,40
	5,98%	230,10	272,98	337,48	383,69	445,49
	6,50%	199,52	229,91	272,46	300,83	336,28
	7,00%	177,48	200,38	230,91	250,34	273,66



Comparables Analysis

Key similarities: These firms manage mission-critical industrial gas portfolios spanning large-scale manufacturing, electronics, and increasingly, massive low-carbon hydrogen projects. Air Liquide can remain competitive by accelerating its transition toward the "hydrogen economy" while maintaining best-in-class margins in its traditional Industrial Merchant and Healthcare operations. Like Linde and Air Products, it invests heavily in high-purity gases for the semiconductor industry and carbon capture technologies, but its balanced strategy between long-term infrastructure assets and high-margin specialty gases helps it sustain strong returns while leading the global industrial decarbonization movement.



Ticker	Name	Market Cap	Stock price	PE Ratio	Forward PE	EV/EBITDA	Price/Sales	Debt/Equity
ENXTPA:AI	L'Air Liquide S.A.	104bn	180,00	29,5	25,3	14,8	3,9	0,51
NasdaqGS:LIN	Linde plc	229bn	493,83	33,2	27,7	18,4	6,8	0,71
XTRA:BAS	BASF SE	45bn	50,94	27,5	20,8	9,1	0,8	0,68
ENXTPA:AKE	Arkema S.A.	4bn	59,05	70,9	12,1	5,7	0,5	0,65
NYSE:APD	Air Products and Chemicals, Inc.	64bn	289,43	163,4	21,8	51,1	5,3	1,02
ENXTAM:AKZA	Akzo Nobel N.V.	9bn	50,90	13,7	12,7	9,7	0,9	1,01
TSE:4091	Nippon Sanso Holdings Corporation	2493bn	5 760,00	25,2	18,2	10,7	1,9	0,73
BIT:SOL	SOL S.p.A.	5bn	60,00	32,6	29,5	14,7	3,0	0,62
SZSE:002430	Hangzhou Oxygen Plant Group Co.,Ltd.	27bn	27,64	29,3	21,3	13,3	1,8	0,68
SZSE:002971	Hubei Heyuan Gas Co.,Ltd.	6bn	28,40	82,2	0,0	34,2	3,8	2,03
SZSE:002549	Hunan Kaimeite Gases Co., Ltd.	13bn	18,12	259,4	0,0	81,5	19,6	0,26

Low	13,7x	0,0x	5,7x	0,5x	0,3x
Mean	58,0x	16,8x	20,1x	3,0x	0,8x
High	259,4x	29,5x	81,5x	19,6x	2,0x



Comparables Analysis: Multiples Valuation

	PE Ratio	Forward PE	EV/EBITDA	Price/Sales
Air Liquide	29,5x	25,3x	14,8x	3,9x
Mean peers	58,0x	16,8x	20,1x	3,0x
xValuation (bn)	204,15	144,65	151,06	81,69
price / shares	353,24	250,28	261,38	141,36



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Catalyst path

Horizon	Event catalyst	Expected impact
Q1 2026	"Hard-to-abate" contract signings	Backlog Acceleration & Risk Reduction: Signing 15-20 year take-or-pay contracts with steel (Thyssenkrupp) and cement giants. This provides a massive boost to the investment backlog and proves that decarbonization is a concrete revenue stream. It mechanically lowers the equity risk premium in DCF models, as long-term cash flow visibility reaches record levels.
Q2 2026	Commissioning of giant projects	The operational launch of units like Normand'Hy (200 MW electrolyzer) marks the shift from R&D to industrial scale. We expect an immediate uplift in the Large Industries segment's operating margin. This will also trigger the recognition of government operational subsidies (OPEX support), directly flowing into the EBITDA.
Q3 2026	Central Bank pivot (ECB/Fed)	As a capital-intensive "Bond Proxy," Air Liquide is highly sensitive to interest rates. A pivot lowers the WACC (Weighted Average Cost of Capital), making future green projects more NPV-positive. Historically, lower rates trigger a rotation into high-quality yield stocks, driving a re-rating of the P/E multiple toward its 5-year high.
Q3 2026	Acceleration of Electronics demand	The ramp-up of new semiconductor Giga-fabs (TSMC, Intel) in Arizona and Germany will spike demand for carrier gases and extreme-purity materials. Since the Electronics branch carries significantly higher margins than the group average, this "mix effect" will drive a disproportionate increase in net earnings per share (EPS).
Recurrent	Awarding of free shares	Usually executed on a 1-for-10 basis every two years. This operation technically lowers the price per share, increasing liquidity. Historically, the "dilution" is closed by the market within months due to the strong buy-side demand.



Risks considerations

Risk Level	Risk Factor	Description & Impact Analysis
LOW	Regulatory Uncertainty	Minor delays in the application of public subsidies (e.g., EU hydrogen subsidies). The impact is limited because Air Liquide self-finances a large part of its R&D.
MEDIUM	Energy Volatility	A sudden surge in electricity or gas prices. Although "pass-through" protects margins, an extreme peak can create a quarterly cash flow mismatch.
MEDIUM	Capital Intensity	A prolonged maintenance of high interest rates by the ECB/Fed increases the cost of debt financing for new giant projects (electrolysers).
HIGH	Geopolitical Execution	A severe economic slowdown in China or major trade fragmentation. This would directly impact the volumes of the Industrial Merchant and Electronics divisions.
HIGH	Competition & Market Share	Commercial aggressiveness from Linde or Air Products on large semiconductor contracts ("Over-bidding"). This could force Air Liquide to reduce its prices to retain its key customers.



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Price Target & Recommendation

Marvin (waiting for Bloomberg)

Price Target		
Valuation Summary		
Analysis	Price	Weight
Current price	\$76.81	10%
Brokers	\$81.93	20%
Comparables	\$90.71	20%
DCF	\$62.61	20%
DDM	\$118.02	30%
Target Price	\$90.14	100%

We believe that under \$80, KO is a low-risk play and therefore a buy for our core portfolio.

Our price target is \$90, giving us a 17% upside, but this is a short to medium-term play.

A stop in the 64-year continuous increase in dividends is where we could consider selling before our price target.

We put a stop loss at \$65.